

EQUITY RESEARCH · COMPANY DEEP DIVE

Mastercard Incorporated (MA.US)

Financial Services · Credit Services

Large Cap (>\$200B) · Report Date: October 05, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-10-05

HOLD

Composite · Valuation: UNDERWEIGHT

Target \$528.37 · -6.4% upside

Price \$564.59

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target \$528.37 (-6.4% vs \$564.59); DCF 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; elevated leverage; weak roe; positive fcf generation
- Moderate revenue expansion (14.1% YoY)

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	UNDERWEIGHT	Blended PT \$528.37	45%
FSA	Stable	Health +0.05 · Stable	20%
Technical	BULLISH	Bullish	20%
Quantitative	NEGATIVE	Score -0.30 · 12m -2%	15%
Composite	HOLD	Score -0.09 · 50% confluence	—

Valuation rich but trend improving — wait for confirmation.

INVESTMENT THESIS / EXECUTIVE SUMMARY

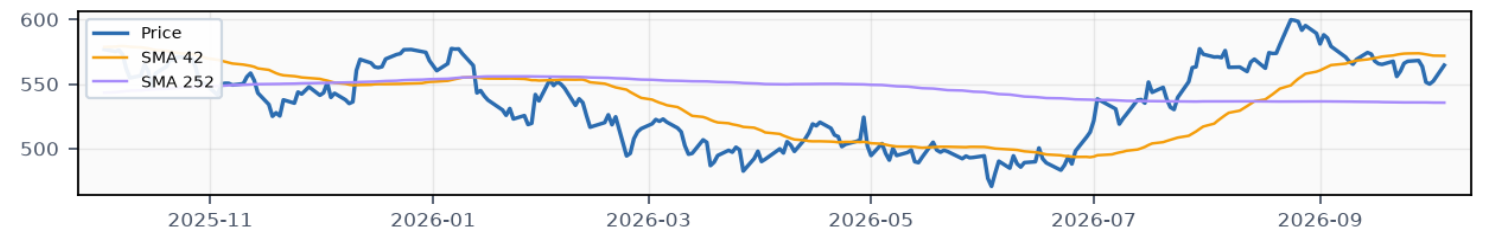
Mastercard Incorporated (MA) — Financial Services. Mastercard Incorporated, a technology company, provides transaction processing and other payment-related products and services in the United States and... **UNDERWEIGHT** rating; blended target \$528.37. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$494.59B	Shares Out.	869.5M
52-Week Range	\$464.52 – \$601.23	P/E (TTM)	31.1x
P/B	88.3x	Beta	0.76
Avg Volume	2.88M	Analyst Rec.	Strong Buy
Revenue (TTM)	\$35.08B	Rev Growth	+14.1%
Op. Margin	61.1%	FCF (TTM)	\$16.43B
Gross Margin	100.0%	ROE	2.4%
EV/EBITDA	22.4x	Debt/Equity	439.6%
EPS (TTM)	\$18.18	Div Yield	63.0%

PRICE TREND · SMA 42 / 252

MA · Price & SMA



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	28,167	32,791	37,415	41,388	44,775
Revenue Growth (%)	N/A	16.4%	14.1%	10.6%	8.2%
Net Income (\$M)	12,874	14,968	17,078	18,892	20,438
Gross Margin (%)	76.3%	77.9%	100.0%	100.0%	100.0%
Net Margin (%)	45.7%	45.6%	45.6%	45.6%	45.6%
EPS (\$)	14.81	17.22	19.64	21.73	23.51
P/E (x)	38.13	32.80	28.74	25.98	24.02

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$571.89	Short-term trend	12m Momentum	-2.1%	
SMA (252d)	\$535.60	Long-term trend	3m Momentum	+8.8%	
RSI (14d)	43.6	Momentum oscillator	Ann. Volatility	23.8%	
Trend	Bullish		Sharpe Ratio	0.29	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-28.3%	
Death Cross (20d)	No		Rel. Strength vs SPY	-23.7%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$571.89, SMA252=\$535.60	Quant Score	-0.30	NEGATIVE
			SMA Backtest (ann.)	11.2%	B&H; 17.5%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	\$493.78	-12.5%	80%	Included in blend
Comps — Blended	\$288.57	-48.9%	0% (excluded)	Diverges below other methods (50% of median)
Analyst consensus	\$666.71	+18.1%	20%	Included in blend
Blended target	\$528.37	-6.4%	100%	DCF 80% + Analyst 20%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
8.18%	1.98%	12.00%	\$429.33B	\$493.78	-12.5%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
AXP	American Express Compa	\$205.31B	18.4x	N/A	16.1%	+12.8%
PYPL	PayPal Holdings, Inc.	\$46.55B	10.3x	7.5x	14.4%	+4.8%
COF	Capital One Financial	\$119.72B	12.5x	N/A	21.9%	+11.1%
DFS	DFS	N/A	N/A	N/A	N/A	N/A
MA*	Mastercard Incorporate	\$494.59B	31.1x	22.4x	46.3%	+14.1%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Trends: Moderate revenue expansion (14.1% YoY); High operating leverage (61.1% margin); Defensive profile (β=0.76) · Risks: Elevated leverage (D/E: 440%) Strong revenue growth; high operating margins; elevated leverage; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.